

ECONOMICS PAPER 2
(Mock Test 33)
Question-Answer Book

Time allowed: 1 hour 30 minutes
This paper must be answered in English

INSTRUCTIONS

- (1) After the announcement of the start of the examination, you should first write your Candidate Number in the space provided on Page 1 and stick barcode labels in the spaces provided on Pages 1, 3, 5, 7, 9, 11 and 13.
- (2) This paper consists of two sections, A and B. Answer ALL questions in sections A and B.
- (3) Write your answers in the space provided in this Question-Answer Book. Do not write in the margins. Answers written in the margins will not be marked.
- (4) Supplementary answer sheets will be supplied on request. Write your candidate number, mark the question number box and stick a barcode label on each sheet, and fasten them with string INSIDE this book.
- (5) No extra time will be given to candidates for sticking on the barcode labels or filling in the question number boxes after the ‘Time is up’ announcement.

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Candidate Number									
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Marker No.	
Question No.	Marks
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Section A (30 marks)

1. On a video-sharing platform, apart from providing free videos, many content creators also set up channel memberships. After paying to become members of the channel, viewers can enjoy exclusive benefits, such as members-only videos, live streams, etc.
 - (a) Explain whether the members-only videos on the video platform are public goods. (3 marks)
 - (b) Membership fees for different channels are different, ranging from tens of dollars to several hundred dollars. Suggest **ONE** possible reason for such a price difference. (2 marks)
 - (c) Some content creators produce videos with support teams that include, for example, agents, videographers and video editors. Explain to which type of division of labour this practice belongs. State **ONE** reason to explain why such a practice can increase labour productivity. (3 marks)

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2. ABC Ltd. is a toy trading company. Shareholders of the company need the consent of other shareholders when transferring ownership.

(a) What type of business ownership does ABC Ltd. belong to? (1 mark)

(b) State **ONE** advantage and **ONE** disadvantage of forming the type of business ownership in part (a) over forming a partnership. (2 marks)

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3. A restaurant group has introduced more than 100 robots in its restaurants to perform duties such as assisting with seating arrangements and serving food.
- (a) State the type of factor of production the robots belong to. (1 mark)
- (b) A spokesman for the restaurant group said, 'The introduction of robots can alleviate the labour shortage problem that the group has been facing.'
- (i) With the aid of a demand-supply diagram, explain the above statement. (5 marks)
- (ii) Explain whether the spokesman's statement is a positive statement or a normative statement. (2 marks)

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4. Currently, many government services in Hong Kong are charged below cost. To relieve pressure on public finances, some people propose that the government should adjust various government fees, including fees for government services related to people's livelihood, such as the recreational and sports facilities of the Leisure and Cultural Services Department. Discuss the proposal to increase fees for the recreational and sports facilities by giving **ONE** argument **FOR** and **ONE** argument **AGAINST** it. (4 marks)

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5. To encourage the public to use private medical services, the government provides a per-unit subsidy to private medical service providers.

Under what condition will consumers enjoy a larger share of the subsidy than producers? Explain your answer with the aid of a diagram. (7 marks)

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Section B (40 marks)

6. Mr. Cheung runs a bee farm in Sheung Shui. Recently, Mr. Cheung expanded his business and opened an online shop selling products produced by the bee farm.

(a) To what type of expansion does this belong? Give **ONE** advantage of this expansion to Mr. Cheung. (2 marks)

(b) Mr. Cheung hires a clerk to assist him with the work of the online shop. Mr. Cheung pays the clerk a monthly salary. From the viewpoint of Mr. Cheung and the clerk, explain why using this wage payment method is better than using piece rate. (4 marks)

Recently, a real estate developer proposed a compensation plan to Mr. Cheung asking him to relocate his bee farm to another location.

- (c) Explain whether Mr. Cheung's opportunity cost of relocating the bee farm will change if
- (i) the real estate developer increases the amount of the compensation plan, hoping to speed up Mr. Cheung's relocation of the bee farm. (2 marks)
 - (ii) the wage rate of logistics workers increases. (2 marks)

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7. Read the following news report.

In May 2023, the food delivery platform Meituan (美團) launched food delivery brand 'KeeTa' in Hong Kong, which competes with Deliveroo and Foodpanda in the food delivery services market in Hong Kong.

- (a) Give **ONE** variable cost involved in a food delivery platform providing food delivery services. (1 mark)
- (b) Give **TWO** reasons to explain why the Hong Kong food delivery market is **NOT** perfectly competitive. (4 marks)
- (c) Food delivery platforms sometimes offer free delivery as a promotion. Using the law of demand, explain how this would affect the proportion of lower-priced orders to higher-priced orders. (4 marks)

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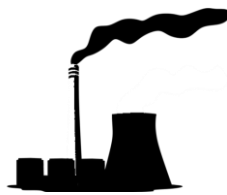
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8. In Country A, the air pollution problem is serious. The government is considering how to improve the air quality.

Source A: Major sources of air pollution in Country A



Exhaust gas from diesel vehicles



Emissions from power plants



Pollutants emitted by factories

Source B: News report on Country A's government imposing an additional sewage charge on industrial firms

To encourage enterprises to proactively improve their production systems to reduce the emission of pollutants, the government announced that, effective immediately, an additional sewage charge will be levied on industrial firms. The additional sewage charge is calculated based on their output. All firms that emit pollutants during the production process have to pay this additional sewage charge based on their output.

The public generally welcome the measure and believe that pollutants emitted by industrial firms can be reduced and the air quality can be improved. However, many industrial firms said that the measure will make their business more difficult.

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Source C: Some views on air pollution

 An elderly woman	The air pollution in the area where I live is very serious. I need to use an air purifier at home all the time.
 A doctor	Air pollution affects health, causing issues such as nose and throat irritation, coughing, and may aggravate symptoms for people with chronic respiratory diseases.
 A diesel private car driver	I am used to driving a car. If the government does not provide incentives, I think I will not consider changing my travel mode. On the other hand, the government can consider providing incentives to encourage drivers to switch to electric cars that cause less air pollution.

- (a) Refer to the above sources. Explain, in terms of externalities, how pollutants emitted by factories may result in inefficiency. (3 marks)
- (b) With the aid of a diagram, justify the view of the industrial firms in Source B on the imposition of the additional sewage charge in terms of producer surplus. (5 marks)
- (c) Refer to the view of the elderly person in Source C. Explain why ‘fresh air’ is an economic good in this case. (2 marks)

For part (d), candidates are required to present their answer in essay form. Criteria for marking will include use of sources and economic theories, relevant content, logical presentation and clarity of expression.

- (d) Suppose there are two proposals to reduce the level of air pollution.

Proposal I	Providing a tax concession for first-time buyers of electric cars
Proposal II	Lowering public transport fares

With reference to the above sources and your own knowledge in Economics, discuss which proposal, proposal I or II, each of the following groups of stakeholders would prefer:

- private car drivers
- low-income earners
- environmentalists who are concerned about air pollution

(Hint: You may discuss the reasons why one group of stakeholders would prefer a certain proposal OR

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END OF PAPER

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